



Tax Alert on Finance Bill, 2026

Proposed Amendments

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The Finance Bill, 2026 (The Bill) was published on 30 April 2026 and was later published in the Kenyan Gazette Supplement No.113 on 5 May 2026. It contains a raft of changes to the various tax statutes. The Bill will be debated in the National Assembly, subjected to public participation and the parliamentary procedure before eventually being passed into law by 30 June 2026. Additionally, on 11 May 2026, the Income Tax (Amendment) Act 2026 was published.

Notable proposals in The Bill and Income Tax Amendment Act, are the reintroduction of the tax amnesty, additional exemptions for group reorganisation, reduction of the tax filing deadline, enhancement on taxation of mobile phones and technology, introduction of new taxes e.g. issuance of agency notices for matters that are under appeal and a plethora of tax administrative changes on a wide variety of issues including tax avoidance that are aimed at collection of additional taxes.

More details on proposed amendments to the various tax statutes are contained in this tax alert.

Income Tax Act

1. Clarification on the definition of immovable property

The Bill proposes to amend the definition of “immovable property” to clarify that land (including anything attached to it or secured by it) is distinct from mining rights, interests in petroleum agreements, mining information and petroleum information.

This proposal seeks to delineate the different types of immovable property, rather than joint elements that must be considered together. Accordingly, transactions involving only mining rights, interests in petroleum agreements, mining information and petroleum information, even where there is no actual transfer of land, are to be considered transfer of immovable property for Capital Gains Tax (CGT) purposes.

Proposed Effective Date: 01 July 2026

2. Expanded definition of management or professional fees

The Bill proposes to expand the scope of “management or professional fees” to expressly include interchange fees and merchant service fees arising from transactions that use card as a means of payment.

The effect of this amendment is to bring such fees within the Withholding Income Tax (WHIT) net at the applicable resident and non-resident rates.

This proposed amendment appears to be a direct legislative reaction to the Supreme Court’s decision in Barclays Bank of Kenya Limited v Commissioner of Domestic Taxes where the Supreme Court held that fees paid by acquiring banks to issuing banks did not constitute “management or professional fees”. Consequently, these fees fall outside the scope of WHIT.

Proposed Effective Date: 01 July 2026

3. Expanded definition of royalty

The Bill proposes to expand the definition of “royalty” to cover the following additional items:

- A proprietary digital platform, payment network, payment-card scheme, payment processing system, switching system, clearing system or settlement system, including access, participation or usage rights in such systems through a card, whether the consideration is periodic or transaction-based and whether or not the payment is described as a service fee, transaction fee, network fee, assessment fee, processing fee or similar charge; or
- Payments made through software distributors where users make ongoing payments to use the software.

The proposed amendment will subject the above payments to WHIT at the applicable resident and non-resident rates.

The proposal to expand the definition of “royalty” is not new and has been introduced on several occasions in the past. It is also important to note that the current proposal appears to be a legislative response to recent judicial decisions that have quashed any attempts by Kenya Revenue Authority (KRA) to subject the above payments to WHIT. In particular, the Supreme Court’s decision in Barclays Bank of Kenya Limited v Commissioner of Domestic Taxes held that payments to international card networks in the form of interchange fees, merchant fees and network fees do not constitute the use of, or the right to use intellectual property, and therefore do not constitute royalties. Similarly, the Tax Appeals Tribunal ruled in Seven Seas Technologies Ltd v Commissioner of Domestic Taxes that software distribution, where no intellectual property rights are transferred, does not amount to royalty payments.

Proposed Effective Date: 01 July 2026

4. Revised definition of withdrawals and winnings for the Betting Industry

The Bill proposes to amend the definition of withdrawals to mean any amount of money, cash equivalent or money’s worth paid to the account of a player by a licensed person under the Gambling Control Act, 2025. This definition is broad and includes the entire amount cashed out, including both the original stake and any gains. Withdrawals by punters are subject to WHIT at the rate of 5% to both residents and non-residents.

The Bill also proposes to re-introduce the definition of winnings for gaming and betting purposes to provide that winnings will mean any pay-out from a lottery or price competition but exclude the amount staked or wagered. This will limit winnings to the net gain or profit element only, rather than the full amount received. Consequently, the Bill proposes to introduce WHIT at the rate of 20% to both residents and non-residents on winnings.

Proposed Effective Date: 01 July 2026

5. Clarification on Tax Exempt Gratuity

The Bill proposes to clarify that the tax-exempt status of gratuity will only apply where an employee has served under a continuous contract of employment for a minimum period of 3 years. In addition, the Bill proposes to cap gratuity contributions at thirty one percent (31%) of the employee’s basic salary.

These proposals seek to eliminate ambiguity around what constitutes a qualifying period, particularly in cases involving fixed-term or renewed contracts, by introducing a clear threshold.

The Bill further provides that these limitations will not apply to employees already covered under pension contributions, effectively maintaining distinction between gratuity arrangements and pension benefits.

Proposed Effective Date: 01 July 2026

6. Changes to Rental Income Tax

The Bill proposes to introduce a new tax regime on rental income earned by non-resident persons from the use or occupation of property located in Kenya. The tax is structured as a final tax meaning no further income tax will be payable on that income. Notably, the Bill does not prescribe the applicable tax rate for this category of income creating uncertainty as to the effective tax burden on non-resident property owners.

Non-resident property owners will be required to register for this tax obligation under a simplified registration framework prescribed by KRA. They will also be required to comply through the filing of monthly returns and payment of the tax due by the 20th day of the month following the month in which the rent is received.

Whilst the Government is considering this proposed amendment, it is important to note that currently, rent premium or similar consideration paid to non-resident persons for the use or occupation of immovable property in Kenya is subject to WHIT at the rate of thirty percent (30%).

In addition, the Bill proposes to increase the rate for Monthly Residential Rental Income (MRI) Tax from the current rate of seven point five percent (7.5%) to ten percent (10%) of the gross rental receipts. MRI is applicable to resident persons earning annual residential rental income of between KES 288,000 and KES 15 million.

Proposed Effective Date: 01 July 2026

7. Scrapping of Preferential Corporate Income Tax Rate on Large-Scale Residential Housing Developers

The Bill proposes to repeal the tax incentive that allowed companies constructing at least four hundred (400) residential units per year to be taxed at a lower Corporate Income Tax (CIT) rate of fifteen percent (15%) for that year of income. It also proposes to repeal the provision that allowed companies with multiple business activities to apply this lower tax rate only to the portion of their income relating to such residential housing projects.

The import of this proposal is that companies involved in large-scale residential housing projects will no longer enjoy this reduced tax rate of 15% and will instead be subject to the standard CIT rate of 30%.

Proposed Effective Date: 01 July 2026

8. Reintroduction of WHIT on Scrap Metal

The Bill proposes to re-introduce WHIT on payments made to both resident and non-resident scrap suppliers at the rate of 1.5%. Presently, any payment made in respect to scrap metal is not subject to WHIT following its repeal via the Finance Act, 2025.

Proposed Effective Date: 01 July 2026

9. Repeal of the Preferential WHIT Rate on Dividends paid to EAC Citizens

The Bill proposes to repeal the preferential WHIT rate applicable to citizens of East African Community (EAC) Partner States in respect to dividend income. Currently, such individuals benefit from a reduced WHIT rate of five percent (5%) on dividends, compared to the standard non-resident WHIT rate of fifteen percent (15%).

If assented into law, dividends paid to non-residents, including EAC citizens, will be subject to WHIT at the rate of 15% unless there is a Double Tax Avoidance Agreement (DTAA) in place that provides for a preferential rate of WHIT.

Proposed Effective Date: 01 July 2026

10. Repeal of WHIT Exemptions applicable to Kenya Airways

Payments made by Kenya Airways to a non-resident persons for specialized technical, maintenance, compliance, training, or digital systems support services, where such services are not available in Kenya or the service provider is certified or accredited by an international regulatory, standard setting, or licensing body, are exempted from WHIT.

The Bill proposes to repeal this exemption and as a result, such payments will become subject to WHIT at the applicable rate of 20% unless there is a DTAA in place that provides for a preferential rate of WHIT.

Proposed Effective Date: 01 July 2026

11. Payment Timelines for Non-Resident Shipping and Air Transport Tax

The Bill proposes to introduce a clear payment timeline for WHIT deducted on income earned by non-resident ship-owners, charterers, and air transport operators for the carriage of passengers, cargo, or mail embarked in Kenya.

From this proposed amendment, WHIT at the rate of two point five (2.5%) of the gross amount payable to the non-resident will be due within five (5) days of the earlier of receipt of payment or departure of the ship from the port of lading.

However, the proposal introduces an ambiguity as it does not clarify whether the 5 days are calendar days or working days.

Proposed Effective Date: 01 July 2026

12. Additional CGT Exemptions

Through the Income Tax (Amendment) Act, 2026 the transfer of property by a company to its shareholders is not deemed to be a dividend distribution if the transfer of property by a company to its shareholders is part of an internal reorganisation or on the transfer of property by the shareholders as consideration for the transfer.

Internal reorganisation is defined to mean a restructuring of the ownership control of a company or its assets which does not involve a transfer of property to a third party.

Effective Date: 11 May 2026

13. Exemption of Capital Gains on Transfers to Real Estate Investment Trusts (REITs)

The Bill proposes to exempt from CGT any gains arising from the transfer of property to a Real Estate Investment Trust (REIT) registered by the Commissioner under the Income Tax Act.

This measure will apply where property is transferred into a REIT that is part of a registered collective investment scheme, which may include unit trusts, employer-sponsored investment schemes, REITs, and their investee companies, subject to conditions that may be prescribed by the Cabinet Secretary through subsidiary legislation.

The exemption is intended to support the growth of REIT structures by removing CGT as a barrier to transferring property into such investment vehicles, thereby encouraging the pooling and professional management of real estate assets.

Proposed Effective Date: 01 July 2026

14. Taxation of Trust Income

The Bill proposes to simplify the taxation of Trust Income under Section 11 of the Income Tax Act (ITA). Currently, income received by a trustee, executor, or administrator is treated as income of that person for tax purposes, and in some cases, distributions to beneficiaries may still be subject to additional taxation, creating a potential risk of double taxation.

The Bill proposes that income received by a trustee, executor, or administrator on behalf of the Trust will be taxed on the trustee, executor or administrator accordingly at the CIT rate of 30%. The Bill further seeks to clarify that dividends and interest included in such income will not be subject to further tax under the ITA. In addition, where a trustee, executor, or administrator has already paid tax, the beneficiaries receiving distributions from the trust will not be liable to tax on the same income.

This is a welcome proposal as it introduces a clearer and more streamlined framework for taxing trust income by ensuring that the same income is not taxed more than once as it flows from the trust to the beneficiaries.

Proposed Effective Date: 01 July 2026

15. Exemption of Pension Payouts due to demise of a person from Income Tax

The Bill proposes to exempt from Income Tax any pension benefits paid out of a registered scheme, which is triggered by the demise of the person. This proposal provides greater certainty and relief to beneficiaries by ensuring that they receive the full value of the deceased member's pension savings, offering enhanced financial protection during a loss.

Proposed Effective Date: 01 July 2026

16. Clarity on Investment Allowance on Industrial Buildings

The Bill proposes to clarify that the investment allowance applicable to industrial buildings claimable at a rate of ten percent (10%) per annum is on equal installments. This proposal seeks to address the current lack of clarity regarding the method of claiming the allowance as the ITA is silent.

Proposed Effective Date: 01 July 2026

17. Installment Tax Exemption Criteria

The Bill proposes to revise the conditions under which a taxpayer is exempt from paying installment tax. Currently, the law provides exemptions based on minimum tax and where employment income is fully taxed through PAYE, although the reference to minimum tax is no longer applicable following its repeal via the Finance Act, 2025.

If the proposal is effected, individuals who earn only a salary and whose tax is already deducted through PAYE, will not be required to make installment tax payments in the relevant year of income thus providing clarity.

Proposed Effective Date: 01 July 2026

18. Tax Relief on Housing Loans from Central Bank of Kenya

The Bill proposes to introduce a new tax deduction for employees who receive housing loans from the Central Bank of Kenya (CBK) for the construction, purchase, or improvement of a house occupied by the employee. Under the proposal, qualifying employees will be allowed to deduct interest paid on such loans, up to a maximum of KES 360,000 annually, when calculating their taxable income.

The proposal is intended to align CBK staff housing loans schemes with the existing mortgage interest deduction framework under the ITA, as part of staff welfare and home ownership support initiatives. Currently, the Act only allows a deduction of up to KES 360,000 annually on interest paid for qualifying housing loans obtained from specified financial institutions listed under the Fourth Schedule to the ITA such as banks, financial institutions, and mortgage finance companies licensed under the Banking Act.

Given that the CBK serves as the regulator and licensing authority for institutions governed under the Banking Act and is not included among the financial institutions specified under the Fourth Schedule to the ITA, the proposal seeks to expressly extend the mortgage interest deduction framework to housing loans advanced directly by the CBK.

Proposed Effective Date: 01 July 2026

19. Clarification on Interest Restriction Exemption for Non-Deposit Taking Financial Institutions

The Bill proposes to clarify that non-deposit taking institutions engaged in either lending, leasing, or both lending and leasing will be exempted from the interest restriction provision under Section 16 of the Income Tax Act.

The proposal intends to eliminate the ambiguity created by the current wording in the ITA, which is interpreted to mean that only institutions carrying out both lending and leasing activities qualify for the exemption. In practice, many non-deposit taking financial institutions operate exclusively in either lending or leasing rather than both. Therefore, the Bill seeks to align the ITA with how the industry operates and provide greater certainty on the exemption from interest restriction provisions.

Proposed Effective Date: 01 July 2026

20. Revised definition of the Ultimate Parent Entity under the Country-by-Country (CbC) Reporting

The Bill proposes to align the cross-referenced sub-sections within the CbC reporting provisions under the ITA while also refining the definition of an Ultimate Parent Entity (UPE) to align with the OECD Base Erosion and Profit Shifting (BEPS) Action 13 Guidelines on CbC reporting.

The Bill proposes to redefine UPE to mean a constituent entity of a Multinational Enterprise (MNE) group where:

- (a) the constituent entity owns directly or indirectly a sufficient interest in one or more other constituent entities of the MNE group;
- (b) the constituent entity is required to prepare consolidated financial statements under accounting principles generally applied in its jurisdiction of tax residence, or would be so required if its equity interests were traded on a public securities exchange in its jurisdiction of tax residence; and
- (c) there is no other constituent entity of the MNE group that owns directly or indirectly a sufficient interest in any of the other constituent entities of the MNE group.

Proposed Effective Date: 01 July 2026

21. Repeal of General Anti-Tax Avoidance Provision

The Bill proposes to repeal Section 23 of the ITA, which currently empowers KRA to counteract transactions undertaken with the main purpose of avoiding or reducing tax liability. Presently, where a transaction is considered primarily tax-driven, KRA is empowered to charge the correct tax as if the tax avoidance never happened.

The proposed amendment seeks to repeal these provisions from the ITA and instead align them to the Tax Procedures Act, 2015 (TPA) provisions on anti-tax avoidance. This proposed change is intended to consolidate provisions on anti-tax avoidance within a single statute for greater clarity and consistency.

Proposed Effective Date: 01 July 2026

22. Tax on non-distribution of Dividends to be at least 60% of reserves

The Bill proposes to empower the Commissioner to deem at least sixty percent (60%) of a company's distributable income or reserves as having been distributed as dividends where the Commissioner is satisfied that failure to distribute dividends within a reasonable period (not exceeding 12 months) was aimed at avoiding tax liability.

While the proposed 60% threshold may be onerous for businesses that retain earnings to support internal funding and growth, the proposal seeks to strengthen the deemed dividend distribution provision by introducing a minimum dividend distribution benchmark. This will limit the ability of private companies to retain a significant portion of distributable profits without triggering tax.

Under the current framework, the determination of the distribution threshold is at the discretion of the Commissioner, taking into account the operational and financing needs of the business.

This change may significantly impact closely held and investment holding companies, requiring them to reassess dividend policies and cash retention strategies, as retained earnings could now trigger deemed dividend distribution even where no actual distribution is made.

Proposed Effective Date: 01 July 2026

23. Changes to Income Tax Filing Timelines

The Bill proposes to replace the requirement to furnish KRA with a tax return within a reasonable time of not less than thirty (30) days from the date of service of notice with a fixed deadline of the last day of the fourth month following the end of the taxpayer's year of income.

The Bill further proposes to replace the existing requirement filing self-assessment tax returns within six (6) months after the end of the year of income with a deadline of the last day of the fourth (4th) month following the end of the taxpayer's year of income.

Further, the Bill proposes that taxpayers with nil tax payable to submit their returns within 1 month after the end of the relevant year of income.

Proposed Effective Date: 01 January 2027

24. Expanded Scope of CGT on Indirect Transfers

The Bill proposes to expand the scope of CGT on indirect transfers of property situated in Kenya. In particular, the Bill seeks to subject to CGT gains derived by non-residents from the disposal of shares or interests in entities that derive their value from assets situated in Kenya. Further CGT will also be applicable where the alienation results in a change of the Group membership of a company resident in Kenya or where there is a change of ownership, title or interest in property located in Kenya.

This amendment significantly broadens Kenya's taxing rights over offshore transactions, particularly in private equity and extractive sector structures, and may trigger CGT exposure even where no direct transfer of Kenyan assets occurs.

Proposed Effective Date: 01 July 2026

25. Harmonization of Taxation of Branches with the Extractive Industries

The Bill proposes to harmonize the taxation of Branches and other Permanent Establishments (PEs) with those operating in the extractive industry. Specifically, the Bill proposes an introduction of a Branch Repatriation Tax at the rate of 15% on the repatriated income by branches to the Head Office. This will apply to both licensed mining companies as well as contracted petroleum operators.

Additionally, as part of the harmonization, the Bill proposes to reduce the corporation tax rate for Branches and other PEs operating in the extractive industry from 37.5% to 30% of their taxable income.

Proposed Effective Date: 01 January 2027

Value Added Tax Act

1. Deletion of definitions

The Bill proposes to delete the following definitions from Value Added Tax Act, 2013 (VAT Act):

- Assessment
- Information technology
- Tax computerized system

This intended deletion is to align and harmonise the VAT Act with the TPA.

Proposed Effective Date: 01 July 2026

2. Determination of Hire Purchase transactions for VAT purposes

The Bill proposes to amend the treatment of taxable supplies under hire purchase transactions by introducing a requirement that a person carrying on a hire purchase business be licensed under the Hire Purchase Act. Consequently, where a person is duly licensed, the financial charge payable under the hire purchase arrangement will not constitute a consideration for a taxable supply.

Proposed Effective Date: 01 July 2026

3. Accounting for VAT upon change of taxable supplies to VAT exemption status

The Bill proposes to introduce a provision on the VAT treatment of registered businesses that acquire goods for use in making taxable supplies that subsequently undergo a change in VAT status and become VAT exempt. In such circumstances, the taxpayer will be required to account for an amount equal to the input VAT previously claimed on goods that remain unsold at the time the supplies become VAT exempt. Where this adjustment creates a VAT liability, the taxpayer will be required to remit the amount due to KRA.

Proposed Effective Date: 01 July 2026

4. Change of VAT refund application on bad debts

The Bill proposes to amend VAT refund provisions resulting from bad debts by increasing the period within which a registered person may apply for a VAT refund on unpaid supplies from two years to three years from the date of supply.

This proposal seeks to extend the period within which a taxpayer may claim VAT on bad debts and may therefore create significant cash flow constraints, with potential negative implications for business operations.

Proposed Effective Date: 01 July 2026

5. Clarification on issuance of a tax invoice

The Bill proposes to amend the provisions relating to tax invoices by replacing the term "registered person" with "person." This amendment is intended to clarify that the obligation to issue a tax invoice applies to any person conducting a business, thereby enhancing clarity on who is responsible for issuing tax invoices.

The Bill further proposes to clarify that only suppliers making taxable supplies are permitted to issue invoices that display amounts in the tax field. This is intended to eliminate ambiguity by clearly defining the circumstances under which a supply qualifies as a taxable supply.

Proposed Effective Date: 01 July 2026

6. Repeal of provisions relating to tax avoidance schemes

The Bill proposes to repeal the provisions in the VAT Act relating to tax avoidance schemes. Currently, the VAT Act grants the Commissioner powers to counteract arrangements designed to reduce a person's tax liability.

The proposed amendment seeks to remove these provisions from the VAT Act and instead align them to the TPA, which governs administrative and procedural aspects of tax law. This change is intended to consolidate rules on tax avoidance within a single statute for greater clarity and consistency.

Proposed Effective Date: 01 July 2026

7. Applicability of VAT to official aid funded projects on certain supplies

The Bill proposes to introduce VAT at rate of 16% on the spare parts for vehicles used in official aided projects. Currently, the spare parts are VAT exempt under the official aided project framework.

This move by the Government will have significant implications for donor funded grants, as most donors impose strict restrictions prohibiting the use of grant funds to settle local taxes. Such funds are intended to be applied strictly in line with the donors' approved objectives and conditions, and diversion for tax payments would be contrary to the donors' expressed intent.

Proposed Effective Date: 01 July 2026

8. Explicit exemption for passenger duty

The Bill proposes to increase the duty-free allowance for goods that travellers may import in their accompanied baggage from USD 300 to USD 2,000.

This proposal is a welcome move, as it allows travellers to purchase more goods from foreign markets and bring them into Kenya without incurring tax, provided the value of the goods does not exceed the prescribed limit.

Proposed Effective Date: 01 July 2026

9. VAT on specific financial services

The Bill proposes to subject to VAT certain financial services, including the carriage of cash, restocking of automated teller machines, money sorting and counting services, as well as money transfers, payment processing, settlement, merchant acquiring, gateway, and aggregation services supplied through software applications or digital platforms for a fee or commission by payment service providers.

This proposal represents an adverse policy shift, as it is likely to increase the cost of financial services. The additional VAT burden will be passed on to consumers and businesses, thereby raising transaction costs, discouraging the use of formal and digital payment systems, and potentially undermining financial inclusion objectives, particularly for small businesses and low-income users who rely heavily on affordable electronic payment services.

Proposed Effective Date: 01 July 2026

10. Clarity of tour operator services and in house supplies

The Bill proposes to clarify the definitions of tour operators and in house supplies by defining the terms as outlined below:

Tour operator:

To mean a tour or safari operator licensed as such by the competent authority responsible for regulating and overseeing the tourism sector; and

In-house supplies:

To mean supplies made from a tour operator's own resources; or bought from third parties but materially altered so that the supply made is substantially different to that purchased.

Proposed Effective Date: 01 July 2026

11. Reclassification of VAT status on certain goods and services

Item	Current VAT status	Proposed change in VAT status
All goods and parts thereof of chapter 88 i.e. aircraft, spacecraft, and parts thereof However, the Bill proposes to exempt aircraft parts imported by aircraft operators or persons engaged in the business of aircraft maintenance upon recommendation by the competent authority responsible for civil aviation.	Exempt	Vatable at 16%
Direction-finding compasses, instruments and appliances for aircraft.	Exempt	Vatable @16%
Taxable goods for direct and exclusive use for the construction of tourism facilities, recreational parks of fifty acres or more, convention and conference facilities upon recommendation by the Cabinet Secretary responsible for matters relating to recreational parks. "recreational parks" means an area or a building where a person can voluntarily participate in a physical or mental activity for enjoyment, improvement of general health, well-being and the development of skills.	Exempt	Vatable @ 16%
Goods imported or purchased locally for the direct and exclusive use in the construction of houses under an affordable housing scheme approved by the Cabinet Secretary on the recommendation of the Cabinet Secretary responsible for matters relating to housing.	Exempt	Vatable at 16%
The supply of denatured ethanol of tariff number 2207.20.00.	Exempt	Vatable at 16%
Dialyzers of tariff number		
8421.29.00.	Vatable @16%	Exempt
Scrap metal	Vatable @16%	Exempt
Inputs or raw materials locally purchased or imported for the manufacture of animal feeds upon recommendation by the Cabinet Secretary for the time being responsible for matters relating to agriculture.	Zero rated	Exempt
Inputs or raw materials locally purchased or imported for the manufacture of pharmaceutical products upon recommendation by the Cabinet Secretary for the time being responsible for matters relating to health.	Zero rated	Exempt
Transportation of sugarcane from farms to milling factories.	Zero rated	Exempt
The supply of imported or locally purchased telephones for cellular networks and other wireless networks. Proposed Effective Date: 01 January 2027	Vatable@16% for imported finished cellular phones Zero rated for locally assembled/ manufactured cellular phones	Exempt
The supply of motorcycles of tariff heading 8711.60.00.	Zero rated	Exempt
The supply of electric bicycles.	Zero rated	Exempt
The supply of solar and lithium-ion batteries.	Zero rated	Exempt
The supply of electric buses of tariff heading 87.02.	Zero rated	Exempt

Item	Current VAT status	Proposed change in VAT status
Bioethanol vapour (BEV) Stoves classified under HS Code 7321.12.00 (cooking appliances and plate warmers for liquid fuel).	Zero rated	Exempt
Worn clothing and other worn articles of tariff heading 6309, other than upon importation.	Vatable @ 16%	Exempt
The supply of goods for the direct and exclusive use in the implementation of infrastructure projects undertaken under a public private partnership framework, upon approval by the Cabinet Secretary on the recommendation of the Cabinet Secretary for the Ministry responsible for the implementation of the project.	Vatable @ 16%	Exempt
Taxable services for direct and exclusive use for the construction of tourism facilities, recreational parks of fifty acres or more, convention and conference facilities upon the recommendation by the Cabinet Secretary responsible for matters relating to recreational parks.	Exempt	Vatable @ 16%
The supply of services for the direct and exclusive use in the implementation of infrastructure projects undertaken under a public private partnership framework, upon approval by the Cabinet Secretary on the recommendation of the Cabinet Secretary for the Ministry responsible for the implementation of the project.	Vatable @ 16%	Exempt

Proposed Effective Date: 01 July 2026 for the other reclassifications without a proposed effective date

Excise Duty Act

1. Applicability of Excise Duty on locally purchased or imported telephones

The Bill proposes that the timing for accounting for excise duty for an importer or licensed manufacturer of locally purchased or imported telephones for cellular networks and other wireless networks should be at the point of the activation of the phone. Currently, excise duty is payable by importers at the time of importation and by manufacturers at the point of removal from the factory.

The Bill further empowers the Cabinet Secretary to make regulations for better implementation of this subsection. This is a welcome provision as it eases the timing for payment of excise duty for importers and manufacturers of telephones for cellular networks to the time of activation.

Proposed Effective Date: 01 January 2027.

2. Proposed amendments to definitions

The Bill proposes to introduce definitions and interpretations of various terms as follows:

“antique, vintage or classic vehicle” to mean a motor vehicle whose year of first registration is at least thirty years before the date of purchase of that motor vehicle and whose value is at least ten million shillings exclusive of depreciation.

“amount deposited” means the total value of money or money’s worth paid, transferred, credited, or otherwise made available for betting or gambling purposes to a person who has been issued a licence under the Gambling Control Act, whether provided by a player or the operator, whether in cash or cash equivalents, whether or not such amount is held in an account operated by a player, operator or licensed person, or converted into chips, tokens, tickets, credits, or similar instruments;

“virtual asset” has the meaning assigned to it in Section 2 of the Virtual Asset Service Providers Act, 2025;

“virtual asset service provider” has the meaning assigned to it in section 2 of the Virtual Asset Service Providers Act, 2025.

Proposed Effective Date: 01 July 2026

3. Changes in Excise Duty Rates

The Bill proposes amendments to Part I of the First Schedule to the Excise Duty Act relating to the description of various goods and the applicable excise duty rates.

Current Description	Proposed Description	Current Rate	Proposed Rate
Imported cellular phones Proposed Effective Date: 01 January 2027	Telephones for cellular networks and other wireless networks under tariff heading 8517.	10%	25%
Fruit juices (including grape must), and vegetable juice, unfermented and not containing added spirit, whether or not containing added sugar or other sweetening matter	Fruit juices (including grape must) and vegetable juice, unfermented and not containing added spirit.	KShs 14.14 per litre	No change
Fruit juices (including grape must), and vegetable juice, unfermented and not containing added spirit, whether or not containing added sugar or other sweetening matter	Fruit juices (including grape must) and vegetable juice, unfermented, containing added sugar or other sweetening matter and not containing added spirit	KShs 14.14 per litre	KShs 20 per litre
Bottled or similarly packaged waters and other non-alcoholic beverages, not including fruit or vegetable juices.	Non-alcoholic beverages, not including fruit or vegetable juices.	KShs 6.41 per litre	No change
Beer, cider, perry, mead, opaque beer and mixtures of fermented beverages with non-alcoholic beverages and spirituous beverages manufactured by licensed small independent brewers shall be subject to the rate of;	Deleted. Previously, there was a special rate for small independent brewers.	KShs 10 per centilitre of pure alcohol	KShs 22.50 per centilitre of pure alcohol.
Spirits of undenatured extra neutral alcohol of alcoholic strength exceeding 90% purchased by licensed manufacturers of spirituous beverages.	Spirits of undenatured extra neutral alcohol of alcoholic strength exceeding 90%.	KShs 500 per litre	KShs 80 per litre
Cigars, cheroots, cigarillos, containing tobacco or tobacco substitutes	No change	KShs 16,260.29 per kg	KShs 18,000 per Kg
Other manufactured tobacco and manufactured tobacco substitutes; "homogenous" and "reconstituted tobacco"; tobacco extracts and essences	No change	KShs 11,382.48 per kg	KShs 12,550 per kg
Imported Articles of plastic of tariff heading 3923.30.00	Articles of plastic of tariff heading 3923.30.00	10%	No change
Imported Ceramic sinks, wash basins, wash basin pedestals, baths, bidets, water closet pans, flushing cisterns, urinals and similar sanitary fixtures of tariff heading 6910	No change	5% of custom value or KShs 50 per kg	5% of excisable value or KShs 50 per kg, whichever is higher
Imported Articles of plastic of tariff heading 3923.30.00 and 3923.90.90	Articles of plastic of tariff heading 3923.30.00 and 3923.90.90	10%	No change

Current Description	Proposed Description	Current Rate	Proposed Rate
Imported Glass bottles (excluding imported glass bottles for packaging of pharmaceutical products) Provided that it shall not apply to glass bottles imported from any of the countries;within the East African Community	Imported Glass bottles (excluding imported glass bottles for packaging of pharmaceutical products)	35% or Ksh.40 per kg, whichever is higher	No change
Imported furniture of tariff heading 9403 excluding furniture originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported furniture of tariff heading 9403	30%	No change
Imported printed paper or paperboard of tariff heading 4811.41.90 or 4811.49.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported Printed paper or paperboard of tariff heading 4811.41.90 or 4811.49.00	25% or KShs 200 per kilogram, whichever is higher	No change
Imported plates of plastic of tariff heading 3919.90.90, 3920.10.90, 3920.43.90, 3920.62.90 and 3921.19.90 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported plates of plastic of tariff heading 3919.90.90, 3920.10.90, 3920.43.90, 3920.62.90 and 3921.19.90	25% or KShs 200 per kilogramme, whichever is higher	No change
Imported paper or paper board, labels of all kinds whether or not printed of tariff heading 4821.10.00 and 4821.90.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported paper or paper board, labels of all kinds whether or not printed of tariff heading 4821.10.00 and 4821.90.00	25% or KShs 200 per kilogramme, whichever is higher	No change
Imported printing ink of tariff 3215.11.00 and 3215.19.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported printing ink of tariff 3215.11.00 and 3215.19.00	15%	No change
Imported Float glass and surface ground or polished glass, in sheets, whether or not having an absorbent, reflecting or non-reflecting layer, but not otherwise worked of tariff 7005 but excluding those imported by a registered processor upon the recommendation by the Cabinet Secretary responsible for matter relating to industry and those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported Float glass and surface ground or polished glass, in sheets, whether or not having an absorbent, reflecting or non-reflecting layer, but not otherwise worked of tariff 7005 but excluding those imported by a registered processor upon the recommendation by the Cabinet Secretary responsible for matter relating to industry	35% of excisable value or KShs 500 per square meter; whichever is higher.	No change

Current Description	Proposed Description	Current Rate	Proposed Rate
Imported other self-adhesive plates, sheets, film, foil, tape, strip and other flat shapes, of plastics, whether or not in rolls of tariff number 3919.90.90, but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin.	Imported other self-adhesive plates, sheets, film, foil, tape, strip and other flat shapes, of plastics, whether or not in rolls of tariff number 3919.90.90	25% of excisable value or KShs. 200 per Kg, whichever is higher.	No change
Imported printed polymers of ethylene of other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly combined with other materials of tariff number 3920.10.90, but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin.	Imported printed polymers of ethylene of other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly combined with other materials of tariff number 3920.10.90,	25% of excisable value or KShs. 200 per Kg, whichever is higher.	No change
Imported printed polymers of vinyl chloride containing by weight not less than 6% of other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly combined with other materials of tariff number 3920.43.90, but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin.	Imported printed polymers of vinyl chloride containing by weight not less than 6% of other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly combined with other materials of tariff number 3920.43.90	25% of excisable value or KShs 200 per Kg, whichever is higher.	No change
Imported printed poly (ethylene terephthalate) of polycarbonates, alkyd resins, polyallyl esters or other polyesters of other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly of tariff number 3920.62.90, but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin.	Imported printed poly (ethylene terephthalate) of polycarbonates, alkyd resins, polyallyl esters or other polyesters of other plates, sheets, film, foil and strip, of plastics, noncellular and not reinforced, laminated, supported or similarly of tariff number 3920.62.90	25% of excisable value or KShs 200 per Kg, whichever is higher	No change
Imported printed cellular of other plastics of other plates, sheets, film, foil and strip of tariff number 3921.19.90, but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin.	Imported printed cellular of other plastics of other plates, sheets, film, foil and strip of tariff number 3921.19.90,	25% of excisable value or KShs 200 per Kg, whichever is higher.	No change
Printed self-adhesive paper of tariff number 4811.41.90, but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin.	Printed self-adhesive paper of tariff number 4811.41.90	25% of excisable value or KShs 200 per Kg, whichever is higher.	No change

Current Description	Proposed Description	Current Rate	Proposed Rate
Gummed paper and paperboard of tariff number 4811.49.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin.	Gummed paper and paperboard of tariff number 4811.49.00	25% of excisable value or KShs 200 per Kg, whichever is higher.	No change
Imported Uncoated kraft paper and paperboard, in rolls or sheets; kraft liner; unbleached of tariff number 4804.11.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported Uncoated kraft paper and paperboard, in rolls or sheets; kraftliner; unbleached of tariff number 4804.11.	25% of excisable value or KShs 50 per kilogramme, whichever is higher.	No change
Imported other kraft paper or paperboard weighing 150g/m ² or less, in rolls or sheets; unbleached of tariff number 4804.31.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported other kraft paper or paperboard weighing 150g/m ² or less, in rolls or sheets; unbleached of tariff number 4804.31.	25% of excisable value or KShs 50 per Kg, whichever is higher.	No change
Imported other kraft paper or paperboard weighing more than 150g/m ² but less than 225g/m ² , in rolls or sheets; unbleached of tariff number 4804.41.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported other kraft paper or paperboard weighing more than 150g/m ² but less than 225g/m ² , in rolls or sheets; unbleached of tariff number 4804.41.00	25% of excisable value or KShs 50 per Kg, whichever is higher	No change
Imported other kraft paper or paperboard weighing more than 150g/m ² but less than 225g/m ² , in rolls or sheets; unbleached of tariff number 4804.41.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported other kraft paper or paperboard weighing more than 150g/m ² but less than 225g/m ² , in rolls or sheets; unbleached of tariff number 4804.41.00	25% of excisable value or KShs 50 per Kg, whichever is higher	No change
Imported other kraft paper or paperboard weighing 225 g/m ² or more others in rolls or sheets; unbleached of tariff number 4804.51.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin	Imported other kraft paper or paperboard weighing 225 g/m ² or more others in rolls or sheets; unbleached of tariff number 4804.51.00.	25% of excisable value or KShs.50 per Kg, whichever is higher.	No change

Current Description	Proposed Description	Current Rate	Proposed Rate
Imported Glass of heading 70.03, 70.04 or 70.05, bent, edge-worked, engraved, drilled, enamelled or otherwise worked, but not framed or fitted with other materials of Tariff Heading 70.06, but excluding those from East Africa Community Partner States that meet the East Africa Community Rules of Origin.	Imported Glass of heading 70.03, 70.04 or 70.05, bent, edge-worked, engraved, drilled, enamelled or otherwise worked, but not framed or fitted with other materials of Tariff Heading 70.06	35% of excisable value or KShs 500 per square metre, whichever is higher	No change
Imported safety glass of tariff numbers 7007.19.00 and 7007.29.00 but excluding those originating from East African Community Partner States that meet the East African Community Rules of Origin.	Imported safety glass of tariff numbers 7007.19.00 and 7007.29.00	35% of excisable value or KShs 500 per square metre, whichever is higher	No change
Imported Multiple-walled insulating units of glass of Tariff Heading 70.08, but excluding those from East Africa Community Partner States that meet the East Africa Community Rules of Origin	Imported Multiple-walled insulating units of glass of Tariff Heading 70.08	35% of excisable value or KShs 500 per square metre, whichever is higher	No change
Coal	No change	2.5% of customs value	5% of customs value
N/A	Antique, vintage and classic vehicles	N/A	50% of the excisable value

The Bill has proposed amendments to Part II of the First Schedule to the Excise Duty Act relating to various services and the applicable excise duty rates

Current Description	Proposed Description	Current Rate	Proposed Rate
Excise duty on betting shall be on the amount deposited into a customer's betting wallet. Provided that this paragraph shall not apply to horse racing.	Excise duty on betting shall be on the amount deposited for betting purposes	5%	No change
Excise duty on gaming shall be on the amount deposited into a customer's gaming wallet	Excise duty on gaming shall be on the amount deposited for gambling purposes	5%	No change
Excise duty on fees charged on virtual assets transactions by virtual asset providers	Excise duty on fees charged on virtual assets transactions by virtual asset service providers	10% of excisable value	No change

Proposed Effective Date: 01 July 2026 for all other changes in excise duty with an exception of imported cellular phones

Tax Procedures Act

The Bill proposes to introduce the following definitions in the TPA Act following enactment of the Virtual Asset Service Providers Act, 2025:

“Virtual asset” means a digital representation of value that can be digitally traded or transferred and can be used for payment or investment purposes and does not include digital representation of fiat currencies, securities and other financial assets.

“Virtual asset service provider” means a company licensed under the Virtual Asset Providers Act, 2025 (VAP Act) to carry on the business of virtual asset services;

The Bill also proposes to delete the definition of Certificate of Origin (COO):

“Certificate of Origin” means an official document issued by a competent authority of the government of the source country which certifies that the goods being imported into Kenya were manufactured in that particular source country.

Proposed Effective Date: 01 July 2026

1. Filing of information returns for Virtual Asset Service Providers

The Bill proposes to introduce a reporting obligation for Virtual Asset Service Providers (VASPs) whereby VASPs will be required to file an annual information return with the Commissioner, containing information on all the reportable virtual asset users and reportable users. The obligation applies to VASPs that facilitate exchange transactions, provide trading platforms on behalf of customers, or act as counterparties or intermediaries in such transactions.

Where a VASP submits a false statement in the return, they shall be liable to a fine of KShs 100,000 for each false statement or imprisonment not exceeding 3 years or both. Additionally, omission of any information required on the return will attract a penalty of KShs 100,000 for each omission. A VASP who fails to file an information return or a “nil” information return will be liable to a penalty of KShs 1,000,000 for each failure.

However, a VASP shall not be liable for the above penalties relating to false statements or omissions where the required information relates to another person and reasonable efforts were made in good faith to obtain that information from that person.

Proposed Effective Date: 01 July 2026

2. Automatic exchange of information on virtual asset transactions

The Bill proposes to empower the government to enter into an agreement with another country for the automatic exchange of information relating to transactions involving Virtual Assets. The agreement shall provide for the exchange of information relating to:

- i. Filed information returns;
- ii. Due diligence reporting and record keeping obligations;
- iii. The virtual assets users with which a virtual asset service provider maintains a relationship in every calendar year identified as reportable users or controlled persons of reportable persons;
- iv. Nil return filings by virtual asset service providers who do not maintain a relationship with virtual asset users identified as reportable users or as having controlling persons that are reportable persons; and
- v. Arrangements or practices by VASPs, whose main purpose or one of the main purposes, can reasonably be considered to be to avoid obligations imposed under the TPA.

The Bill proposes to empower the Cabinet Secretary to make necessary regulations for the implementation of the above.

Proposed Effective Date: 01 July 2026

3. Reinstatement of Deregistered Persons

The Bill proposes to allow for the reinstatement of a person's PIN that had previously been deregistered. Such a person may apply to the Commissioner for reinstatement of their PIN.

Where the Commissioner is satisfied that the applicant is liable to be registered for tax, the Commissioner shall reinstate and reissue the same PIN that had been assigned to the person prior to deregistration.

Proposed Effective Date: 01 July 2026

4. PIN exemption for non-residents opening accounts in an investment bank

The Bill proposes to exempt non-resident persons from the requirement of a PIN when opening an account with an investment bank.

If enacted, the change may encourage foreign direct investment, as the bureaucracy of non-residents investing in Kenya will have been minimized.

Proposed Effective Date: 01 July 2026

5. Liability for tax payable under tax avoidance schemes

The Bill seeks to enable the Commissioner to issue a tax assessment within 5 years to a person who has entered or carried out a tax avoidance scheme or received a tax benefit in connection with the scheme. The Commissioner will rely on the following information to issue the tax assessment:

- a) information submitted on withholding tax (WHT) deductions;
- b) accounting of tax deducted from employee emoluments;
- c) any information submitted to the Commissioner that would lead to the identification or recovery of unassessed taxes or duties as per the Kenya Revenue Authority (KRA) Act;
- d) electronic tax invoices and information submitted to the Commissioner via e-TIMS;
- e) returns received by the Commissioner upon request from third parties;
- f) information obtained from inspection of goods, equipment, devices and records conducted by the Commissioner or an authorised officer;
- g) information obtained from records produced by a person under audit by the Commissioner;
- h) information submitted to the Commissioner under an established data management and reporting system; and
- i) Information submitted to the Commissioner under any other written law.

The Bill defines a “scheme” to include a course of action, agreement, arrangement, promise, plan, proposal or undertaking. A “tax benefit” means a reduction in tax liability, increase in deduction for input tax, a refund, postponement of tax liability, acceleration of deduction of input tax, any other advantage from payment delay or accelerated input tax deduction, anything that causes a taxable supply or import to not be taxable or anything that gives rise to an input tax deduction for an acquisition used or to be used in making taxable supplies.

This broadens the Commissioner’s powers to issue tax assessments to a person who obtains a tax benefit under a tax avoidance scheme.

Proposed Effective Date: 01 July 2026

6. Reintroduction of Tax Amnesty

The Bill proposes to reintroduce the tax amnesty provisions. This provision will restrict the Commissioner from collecting accrued penalties, interest and fines where the principal tax was settled before 31 December 2025.

For principal taxes unpaid as at 31 December 2025, taxpayers will enjoy tax amnesty on penalties, interest or fines on the unpaid principal tax if they:

- i. Apply and clear outstanding principal taxes by 31 December 2026
- ii. Maintain a tax compliance status by not incurring further tax debt; and
- iii. Submit a written undertaking for the settlement of all outstanding taxes due.

Where a taxpayer pays part of the principal tax that was due as at 31 December 2025 and had been granted amnesty on accrued penalties, interest and fines, fails to clear the remaining principal tax by 31 December 2026, the outstanding principal tax will attract penalties and interest.

Proposed Effective Date: 01 July 2026

7. Powers to issue additional assessments

The Bill proposes to allow the Commissioner to issue a default assessments on the income of a person based on the following information:

- a) information submitted on WHT deductions;
- b) accounting of tax deducted from employee emoluments;
- c) any information submitted to the Commissioner that would lead to the identification or recovery of unassessed taxes or duties as per the KRA Act;
- d) electronic tax invoices and information submitted to the Commissioner via e-TIMS;
- e) returns received by the Commissioner upon request from third parties;
- f) information obtained from inspection of goods, equipment, devices and records conducted by the Commissioner or an authorised officer;
- g) information obtained from records produced by a person under audit by the Commissioner;
- h) information submitted to the Commissioner under an established data management and reporting system; and
- i) Information submitted to the Commissioner under any other written law.

The above proposal seeks to give the Commissioner additional powers to utilize third party data when issuing tax assessments.

8. Removal of tax liability exemption where recipient has already accounted for tax

The Bill proposes to delete the provision introduced by Finance Act, 2025, where a person shall not be liable to pay the principal tax not deducted on qualifying

payments, where the recipient has already paid and accounted for the principal tax in full.

If enacted, this will amount to double taxation of the same income as it does not take into consideration the tax already paid by the recipient.

Proposed Effective Date: 01 July 2026

9. Removal of restriction from issuing agency notices on matters under appeal

The Bill proposes to take away restrictions in place to limit the Commissioner from issuing agency notices where the taxpayer has appealed the Commissioner's Objection decision before a court or Tribunal.

This proposed change gives the Commissioner the right to issue an agency notice to collect taxes on cases that have been appealed at the TAT or Courts. If this provision is enacted, it would infringe on taxpayers' rights as the Commissioner will have undue powers to collect taxes in dispute, without factoring the outcome of the appeal.

Proposed Effective Date: 01 July 2026

10. Removal of requirement to present Certificate of Origin on importation

The Bill proposes to repeal the requirement to present a valid Certificate of Origin to the Commissioner or an authorised officer upon importation of goods introduced by Finance Act, 2025.

This proposed change is welcome as it eliminates additional bureaucracy on the importation of goods into Kenya.

11. Seizure and Forfeiture of Goods by the Commissioner

The TPA provides that the Commissioner may confiscate goods if he had reasonable belief that the VAT or Excise duty payable in respect of the supply, removal, or import of the goods has not been or will not be paid. The Bill proposes to repeal this provision. This will deny the Commissioner any legal right to seize the goods.

This change favours taxpayers, as there will be reduced risk of immediate seizure based on suspicion. Additionally, KRA may need stronger justification or due process before seizing goods. This will result in greater protection for businesses.

Proposed Effective Date: 01 July 2026

12. Offset of overpaid taxes against import VAT provisions removed

The Bill proposes to exclude VAT payable on imports from taxes that qualify for offset against overpaid taxes. Currently, the Commissioner permits taxpayers to offset overpaid taxes against outstanding tax liabilities and future tax obligations including instalment taxes and VAT payable on imports. However, under the proposed amendment, offsets will not apply to VAT due on imports. This change will impact taxpayers engaged in importation, as they will be required to settle import VAT in full at the point of importation, without the ability to utilise existing tax credits or overpayments.

Proposed Effective Date: 01 July 2026

13. Filling of returns using pre-populated return

The Bill proposes to empower the Commissioner to use information technology to generate prepopulated returns on behalf of a taxpayer for tax filing purposes. This introduction is aimed at reducing manual input of the already existing information thus making filing returns fast and simple.

Additionally, the Bill proposes to empower the Commissioner to issue regulations for the submission or lodging of prepopulated tax returns. This is aimed at empowering the Commissioner to issue regulations on how taxpayers may use prepopulated returns.

Proposed Effective Date: 01 July 2026

14. Timelines for Lodging Objections and Appeals reduced

The Bill proposes to change the period for objections and appeals. Currently, the period for lodging an objection to the commissioner's decision and appeals to the Tax Appeals Tribunal (TAT), High Court or Court of Appeal excludes Saturdays, Sundays or Public Holidays. The Bill proposes to revise the period to calendar days. The proposed change will effectively reduce taxpayers' time for preparing objections and appeals since weekends and public holidays will be included.

Proposed Effective Date: 01 July 2026

15. Penalties for failure to comply with electronic tax system requirements

The Bill proposes to expand the penalties applicable for failure to comply with electronic tax system requirements. Currently, the Commissioner requires a taxpayer to issue electronic tax invoices, submit returns

electronically or pay taxes electronically. If violated, the taxpayer is required to provide satisfactory reasons for non-compliance and if not, a penalty of two times the tax due is applicable.

The Bill proposes to expand the penalties, being the higher of

- a) Two times the value of the tax due;
- b) One hundred thousand shillings; or
- c) Ten thousand shillings for individuals.

The introduction of the lower limits of one hundred thousand and ten thousand for individuals is aimed at enhancing stiffer penalties to ensure compliance with electronic tax system requirements.

Proposed Effective Date: 01 July 2026

16. Restriction of waiver of penalties and interest for electronic tax system errors

The Bill proposes to limit waivers, in whole or part of any penalties or interest by the Commissioner, where the liability to pay the penalty or interest does not exceed two million shillings and was due to an error generated by an electronic tax system.

This amendment is detrimental to taxpayers who have penalties and interest exceeding two million shilling arising from an error generated by an electronic tax system. It is unclear how taxpayers in this category will be dealt with as there are no alternative provisions in the TPA to remedy this.

Proposed Effective Date: 01 July 2026

Miscellaneous Fees and Levies Act

1 Amendment of the definition of East African Community Partner States

The Bill proposes to amend the definition of an East African Community Partner states and include a new definition. The East African Community Partner States means the Republic of Kenya, the Republic of Uganda and the Republic of Tanzania and any other country granted membership to the community under Article 3 of the Treaty Establishing the East African Community.

Previously, the definition incorporated Rwanda and Burundi, whilst the new proposed amendment will only allow countries that are conformed to Article 3 of the Treaty governing the East African Community States.

Proposed Effective Date: 01 July 2026

2 Reduction of Import Declaration Fee to be paid into the fund established under Public Finance Management Act

Currently, twenty percent of the Import Declaration Fee (IDF) collected should be paid into a fund established and managed within the Public Finance Management Act. The Bill proposes to slash the current IDF amount to be paid to the fund from twenty percent to ten percent.

The fund is mandated to use ten percent of its collections in revenue enforcement activities. However, with the proposed amendment it is envisaged that the allocation to revenue enforcement activities would potentially be reduced.

Proposed Effective Date: 01 July 2026

3 Proposed amendments to items exempt from IDF and Railway Development Levy

The Bill proposes to amend the Second Schedule to the Miscellaneous Fees and Levies Act on IDF and Railway Development Levy (RDL) exemptions as follows:

Item	Current position	Proposal	Comment
All goods and parts thereof of Chapter 88	Exempt from IDF and RDL	Repeal	Current exemption applicable on both goods and parts of chapter 88, which covers aircraft and its parts.
All parts of chapter 88 and goods of tariff heading 8802.30.00 and 8802.40.00 Proposed effective date: 01 July 2026	N/A	Proposed for exemption as drafted in The Bill	Narrowed scope for both IDF and RDL exemption to only cover parts of chapter 88 and goods of tariff heading 8802.30.00 and 8802.40.00
Imported telephones for cellular networks and other wireless networks Proposed effective date: 01 January 2027	N/A	Proposed for exemption as drafted in the Bill	Introduction of IDF and RDL exemption on cellular phones

4 Stamp duty exemption expansion

The Bill proposes to amend Section 96A of the Stamp Duty Act on exempt property transfers to Real Estate Investment Trusts ("REITS") from stamp duty.

This is a welcome move as it will encourage investment through REITS.

Proposed effective date: 01 July 2026



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